

by the collection agency and that gets passed on to you. The government may even sue you and take your car, bank accounts, and other valuable property that you own and place a lien on your house, if you own one.

Preventing Default

If you're having trouble making your loan payments, you have several alternatives. You could change your repayment plan, apply for deferment or forbearance, or apply for a loan consolidation, which could reduce your monthly payments by nearly half. If you've tried everything and are still having problems with your loan, contact your borrower advocate, who can act as a liaison between you and your lender and may be able to help find solutions to your problem. Lenders really don't want you to default on your loan, and they'll usually offer you a few alternatives—you just have to ask before it's too late.